State of the Union Financial Q&A: Arizona

A comprehensive educational reference detailing specific tax codes, financial structures, and economic regulations native to the state of Arizona.

Q1: What is the current structure of Arizona's state income tax?

Answer: Arizona transitioned to a flat individual income tax system with a single flat rate of 2.50%.

Q2: How does Arizona handle property tax valuations?

Answer: Arizona uses a dual-value system for property taxes: Full Cash Value (FCV) for market value and Limited Property Value (LPV) used to calculate primary property taxes to limit sudden jumps.

Q3: What is the Arizona Transaction Privilege Tax (TPT)?

Answer: Unlike a typical sales tax, the TPT is a tax levied on the seller for the privilege of doing business in Arizona, though it is commonly passed on to the consumer.